

PitchBook Data, Inc.

Nizar Tarhuni Executive Vice President of
Research and Market Intelligence

Paul Condra Global Head of Private
Markets Research

Kyle Stanford, CAIA Director of Research, VC

Institutional Research Group

Analysis



Kyle Stanford, CAIA
Director of Research, Venture
Capital
kyle.stanford@pitchbook.com



Kaidi Gao
Senior Research Analyst, Venture
Capital
kaidi.gao@pitchbook.com



Melanie Tng
Research Analyst, APAC Private
Capital
melanie.tng@pitchbook.com

Data

Harrison Waldock
Data Analyst

pbinstitutionalresearch@pitchbook.com

Publishing

Designed by **Adriana Hansen**

Published on June 27, 2025

2025 APAC Private Capital Outlook: Midyear Update

Checking in on our 2025 APAC private
capital predictions

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

2025 outlooks

- p. 4** The M&A spree in Japan will continue.
- p. 6** Despite a challenging macroeconomic picture in China, nondomestic investor participation in regional deals has likely bottomed.
- p. 9** The highest-valued VC-backed companies in Southeast Asia will search for liquidity.
- p. 12** India will see increased VC deal activity, further closing the gap between it and China.
- p. 14** Fundraising headwinds will widen the gap between established and emerging managers in Australia's private markets.
- p. 16** South Korea's early-stage VC market is unlikely to rebound in H2 2025 without clearer exit signals and stronger founder incentives.

Introduction

At the end of every year, we share our views on how the year ahead will unfold for Asia-Pacific (APAC) private capital. We offered four outlooks for 2025, and it is time to assess those trends to see how they are progressing, as well as explore two new outlooks for the remainder of the year.

Globally, the private markets have been slower in 2025 than the market initially hoped. Liquidity remains low, leading to slower dealmaking and fundraising at the start of the year. Geopolitical tensions continue to create uncertainty in markets around the world, so it would be unsurprising to see the markets remain in a holding pattern for the rest of the year.

Tariffs have been a major storyline for APAC markets, mainly due to the uncertainty created by their initial implementation. The United States has taken a tough stance against China, aiming to limit the US economy's exposure to goods exported from China and to reshore manufacturing jobs. For private markets, this has brought about opportunities as global supply chains were reorganized.

The near-term impacts include a weakened exit environment and slower deal activity. However, we expect the longer-term effects to drive capital market trends over the next year. Capital is likely to further consolidate in markets with strong regional significance, motivating additional fundraising efforts. Credit and secondary strategies will also expand, enhancing liquidity and financing options for developing private capital markets throughout the region. APAC has relied on large global institutions for late-stage capital in the venture markets and for expansionary investments in PE. As global investors navigate challenges in their core strategies, local capital will also become essential in sustaining regional markets.

For now, Japan's private markets have developed into one of largest-growing opportunities for investors. Credit and private equity strategies abound more so than in any other APAC market, while the venture ecosystem continues to develop with talent and capital.

On the other hand, China's market has struggled. With economic uncertainty and investor wariness due to tariffs and other political pressures from the United States, the PE and VC markets have continued to contract. So, too, have the markets in Southeast Asia, where liquidity continues to be a challenge, and a high-profile fraud scandal has weakened investor sentiment.

The outlook for APAC private capital over the next six months is not dissimilar to that of the US and Europe. The ability to activate liquidity in some form will help drive the market forward, while a continued stagnant market will pressure companies whose investors and LPs' patience has worn thin.

In the first half of 2025, we published a diverse array of research covering regions throughout APAC as we expand our research offerings for the Asian markets. These include:

[2025 Southeast Asia Private Capital Breakdown](#)

[2025 Australia & New Zealand Private Capital Breakdown](#)

[Q2 2025 Analyst Note: Opportunities in APAC IPO Markets](#)

[Q1 2025 Analyst Note: Impact of China's High-Tech Fund](#)

[Q2 2025 Analyst Note: Tariffs and the Rewiring of APAC Private Capital Markets](#)

[Q4 2024 India Market Snapshot](#)

[Q1 2025 Japan Market Snapshot](#)

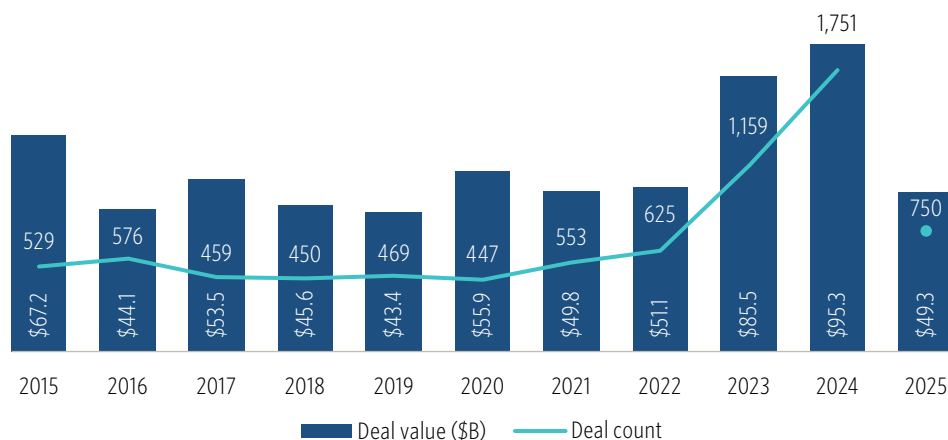
[Q1 2025 South Korea Market Snapshot](#)

Our other outlook reports from December 2024 cover [US PE](#), [US VC](#), [EMEA private capital](#), [healthcare & life sciences](#), [consumer technology](#), [industrial technology](#), and [enterprise technology](#).

Kyle Stanford, CAIA
 Director of Research, Venture Capital
 kyle.stanford@pitchbook.com

Outlook: The M&A spree in Japan will continue.

Japan M&A activity



Source: PitchBook • As of June 3, 2025

Rationale from December 2024

M&A in Japan has surged in recent years, with about 1,500 transactions completed by November 2024, tripling the annual average from 2015 to 2022. This surge aligned with the shift in monetary policy away from negative interest rates that did not foster significant growth. Low rates and a weak yen created opportunities for domestic and foreign buyers, while the government and Japan Stock Exchange encouraged M&A as struggling corporations aimed for growth.

Despite a decrease in Japan's trade deficit over the past year, the weak yen persisted. This situation, ideally suited for boosting exports and stimulating domestic growth, remained uncertain. Further interest rate increases could enhance the attractiveness of Japan's M&A market for foreign investors.

Changing regulations opened up new M&A opportunities. By November 2024, 291 transactions were divestitures or carveouts, marking a 35% increase over the record set in 2023. Such transactions averaged under 100 annually over the past decade, underscoring the impact of the governance reforms initiated in 2022.

Simultaneously, major global institutions like Carlyle, KKR, and Blackstone increased their investments in Japan, raising funds to boost foreign capital activity in the market amid favorable global monetary shifts and growth potential in private markets.

Midyear update: Outlook is tracking with some variations.

Japan's M&A landscape in 2025 has not quite kept pace with the highly active year of 2024, but it is well on track to be the second-most-active year for the country. In a potentially significant development in the market, the Tokyo Stock Exchange made a proposal that would require a "special independent committee" to determine the appropriate sale price for listed companies engaging with potential buyers.

Although the proposed regulation would impact only take-private deals financed by current shareholders holding at least a 20% stake, it could lead to higher premiums being paid. The legislation aims to protect minority shareholders and help combat conflicts of interest, and should generally be seen as a positive development, even if it slows the M&A market as buyers adapt.

Despite the strong M&A activity, Japan's economy has struggled to find a path to growth, with expectations for 2025's GDP growth projected at around 1%. Tariffs imposed by the United States have created confusion due to the Trump administration's changing rhetoric regarding whom and what the tariffs will target. The auto industry, which has been the center of multiple large-scale M&A discussions, has been particularly vulnerable to this confusion.

The yen has improved against the US dollar over the past 12 months, making it relatively more expensive for foreign buyers compared with 2024. This could contribute to the relatively slower pace of activity in 2025 as well. In 2024, the dollar reached a high of over 160 yen.

Overall, Japan's M&A market continues to surge in activity compared with the decade average. The 750 deals completed through June have already exceeded every year since 2015, except for 2023 and 2024. Identifying reasons why this year is not quite as active as last year overlooks the reality that 2025 has continued the trend of an active M&A market in Japan.

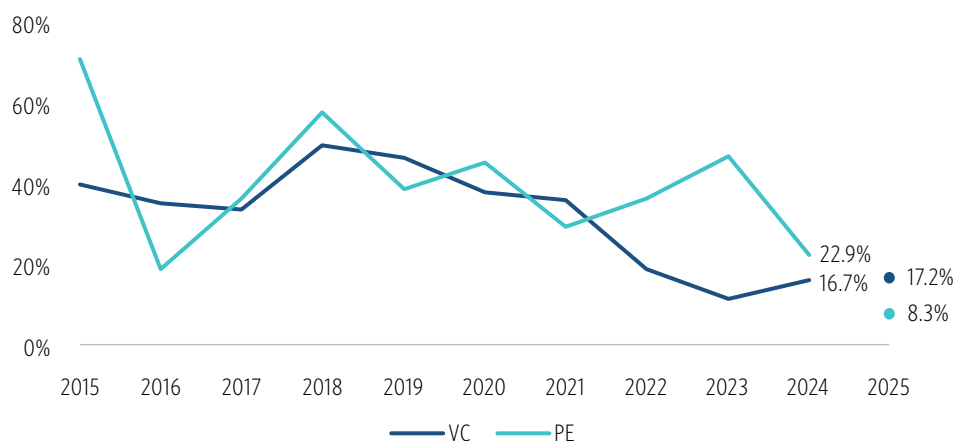
Kaidi Gao

Senior Research Analyst, Venture Capital
kaidi.gao@pitchbook.com

Data in this section includes mainland China and Hong Kong. As mentioned in our prior [Greater China-focused research](#), we see the markets in mainland China and Hong Kong being closely linked. Historically, international investors tended to set up shop in Hong Kong to invest in China with more flexibility.

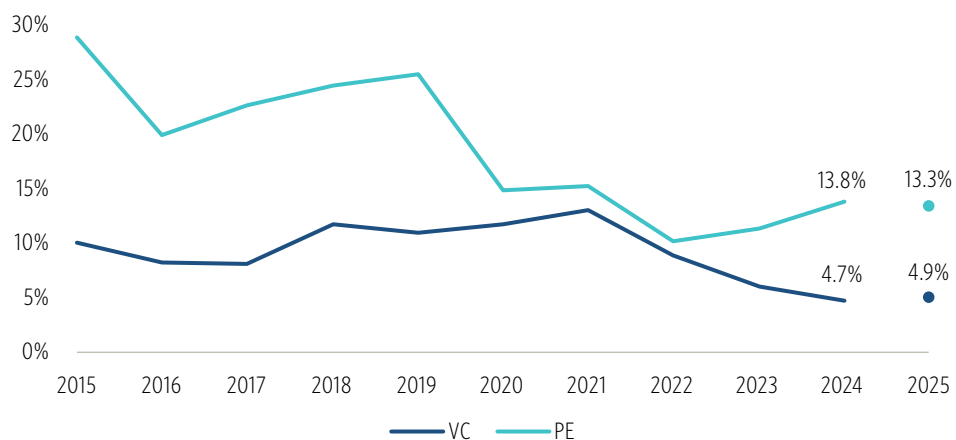
Outlook: Despite a challenging macroeconomic picture in China, nondomestic investor participation in regional deals has likely bottomed.

Greater China VC and PE deal value with nondomestic investor participation as a share of all VC and PE deal value



Source: PitchBook • Geography: China and Hong Kong • As of June 3, 2025

Greater China VC and PE deal count with nondomestic investor participation as a share of all VC and PE deal count



Source: PitchBook • Geography: China and Hong Kong • As of June 3, 2025

Rationale from December 2024

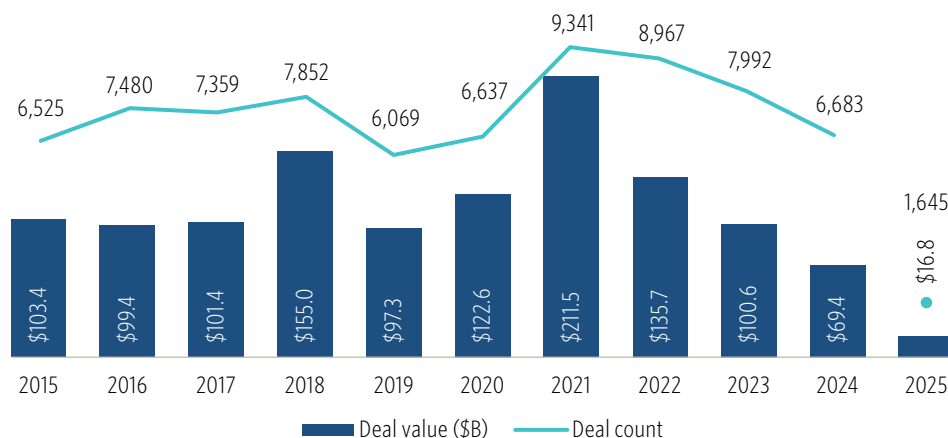
China's private capital market in 2024 faced persistent macroeconomic and geopolitical headwinds, including weak consumer spending, a real estate crisis, and escalating tensions with the US. These pressures led to a steep decline in deal activity, with both deal count and value on track to hit historic lows. Nondomestic investor confidence was dampened by concerns over abrupt policy shifts and capital controls. However, there were early signs that foreign participation was stabilizing, particularly in larger transactions. Despite reduced overall activity, PE deal share with foreign participation rose meaningfully, buoyed by outsized transactions like ByteDance's \$9.5 billion growth round.

Still, foreign investors showed selective interest driven by lower valuations and long-term optimism, especially in high-tech sectors. VC deals in AI and life sciences, such as Moonshot AI and Baichuan AI, highlighted a continued appetite for innovation. Notably, foreign investors accounted for a small share of deal count but a higher share of value, indicating concentration in large bets. Life sciences also gained traction due to lower research & development (R&D) costs and founders having become more open to flat or down rounds. In addition, while challenges remain, contrarian investors saw opportunity in China's revalued assets and strategic sectors.

Midyear update: Outlook is tracking with some variations.

In line with our outlook, nondomestic investor participation in VC deals across China and Hong Kong increased YoY, signaling continued appetite for high-quality startups despite a tough funding environment. In 2025 through early June, the share of VC deal value involving nondomestic investors rose to 17.2% from 16.7% in 2024. Deal count increased from 4.7% to 4.9%. While still low by historical standards—the highest level of nondomestic investor participation by deal value was a hefty 50.2% in 2018—the uptick marks a potential reversal in the multiyear downtrend of overseas investor activity.

Greater China private capital deal activity



Source: PitchBook • Geography: China and Hong Kong • As of June 3, 2025
Note: This chart uses extrapolated values for PE deals.

So far in 2025, six VC deals with nondomestic investor involvement in China and Hong Kong have reached or exceeded \$100 million—primarily in computer hardware and healthcare devices, underscoring sector-specific momentum. (Read our [2024 Greater China Private Capital Breakdown](#) for AI- and healthcare-focused analysis.) One outlier was Zelos Tech, a \$300 million Series B in the automotive sector, which also marked the year's largest nondomestic-backed VC deal.

In contrast, PE deal activity with nondomestic investor involvement has sharply declined. As of June 3, 2025, their share of total PE deal value dropped to 8.3%—less than half of 2024's 22.9% and the lowest in a decade. Over the same period, deal count declined more modestly to 13.3%, down 0.5% YoY. The fall is largely due to the absence of large-ticket PE deals—only two in 2025 YTD exceeded \$100 million, compared with nine in 2024. The largest deal YTD, Dash Hong Kong's \$150 million buyout, pales in comparison to 2024's \$1.1 billion Beijing Hyundai Motor growth round. In addition, a small dataset can also lead to outsized swings as the regional PE market is much smaller than its VC counterpart by volume.

Nondomestic investor sentiment remains closely tied to macroeconomic conditions in China. Through June 3, an estimated total of just \$16.8 billion has been deployed across 1,645 VC and PE deals in the region. If this pace continues, both annualized deal value and volume will hit 10-year lows. While top-tier companies continue to raise capital, the overall funding slowdown is straining access to capital—especially for earlier-stage or lower-profile startups.

Kaidi Gao

Senior Research Analyst, Venture Capital
kaidi.gao@pitchbook.com

Outlook: The highest-valued VC-backed companies in Southeast Asia will search for liquidity.

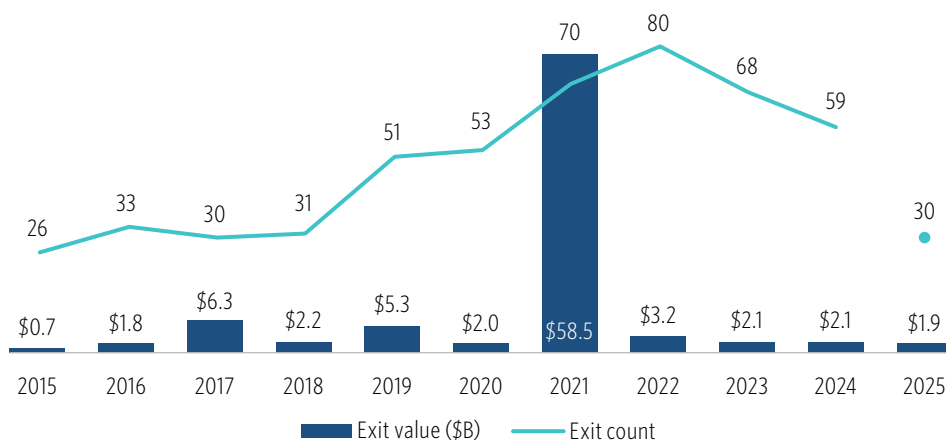
Rationale from December 2024

Southeast Asia is often mischaracterized as a single, uniform investment ecosystem, but in reality, its markets vary widely in opportunity and risk. This divergence poses both a challenge and an imperative for regional startups to expand across borders to achieve scale and deliver strong returns. Despite the rise of past regional champions like Grab and GoTo, VC exit activity remained inconsistent, with just over \$70 billion in cash returns from 2015 to 2023. To attract more nondomestic capital, Southeast Asia needed more large-scale exits and success stories with cross-border reach. Notably, VC-backed startups in the region have been staying private longer, with the median age at exit hitting 7.5 years in 2024—the highest on record.

This aging cohort of top-valued startups signaled a wave of potential exits in the coming years. Of the 30 highest-valued VC-backed companies, 80% were already older than 7.5 years, including 17-year-old MoMo and VNLIFE and 14-year-old Eruditus and Trax Retail. All 30 were classified as unicorns, though some valuations date back to 2021, raising questions about their current worth. IPOs remain the most lucrative exit path, but Southeast Asia's fragmented and relatively small exchanges limited the potential for outsized returns, prompting some companies to explore overseas listings. The market was closely watching how this elite group exits and performs, as their outcomes could shape the region's private capital trajectory.

Midyear update: Outlook is tracking with some variations.

Southeast Asia VC exit activity

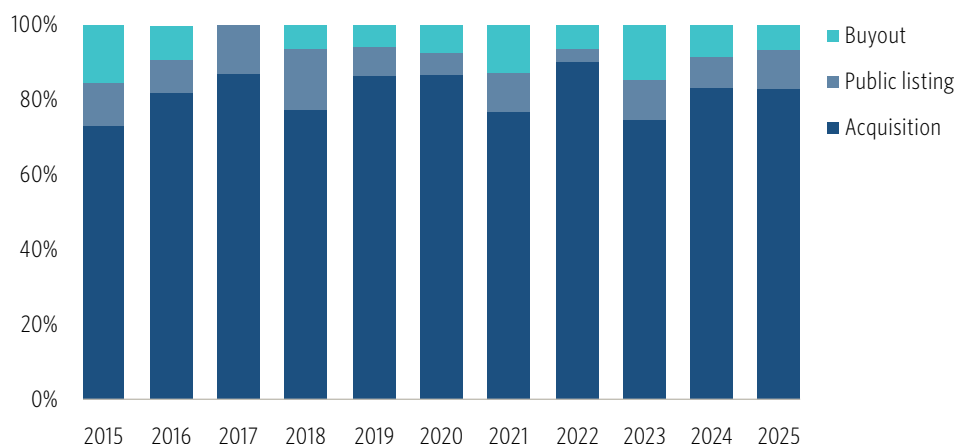


Source: PitchBook • As of June 3, 2025
Note: This chart uses extrapolated values.

Exit activity for VC-backed startups in Southeast Asia gained traction in H1 2025, with 30 deals generating an estimated \$1.9 billion through June 3. If sustained, this pace could nearly double 2024's full-year exit value. The surge is driven largely by a few large IPOs, which together accounted for \$1.1 billion: MiRXES, at \$688

million; OMS Energy Technologies, at \$348.7 million; and Fore Coffee, at \$79.4 million. For comparison, the public listings in 2024 totaled just \$324.8 million, with the largest being Singapore Institute of Advanced Medicine Holdings at \$153 million.¹

Share of Southeast Asia VC exit count by type



Source: PitchBook • As of June 3, 2025

The median age at exit for VC-backed startups in the region declined to 6.8 years in 2025 YTD, down from 7.5 years in 2024, reversing a three-year upward trend. This shift reflects a rise in acquisitions of younger startups. Between 2023 and 2025 YTD, VC-backed M&A activity has remained steady, with the number of acquisitions as a share of overall exits growing consistently YoY, notching 83.3% in 2025 YTD. [Ongoing challenges in liquidity and fundraising](#) have likely pushed more founders and investors to explore M&A opportunities.

Despite improving momentum in exit activity, the projected 2025 exit value remains far below the \$58.5 billion peak recorded in 2021. Many of Southeast Asia's highest-valued startups are staying private and focusing on growth while waiting for more favorable market conditions. The list of the top 30 startups by post-money valuation from our [2025 APAC Private Capital Outlook](#) tracked minimal change. One notable revision is the removal of eFishery due to financial misconduct.

YTD, only one of the region's top 30 most valuable startups—Mynt, parent company and operator of GCash—has reportedly hired bankers to target an IPO this year. Meanwhile, six others have raised follow-on funding: Traveloka, Kredivo Group, Carsome, bolttech, and Nium closed equity rounds, while Glance secured debt financing to support expansion efforts.

The top 30 startups by valuation have a median age of 9 years—above the median age at exit for VC-backed startups in Southeast Asia in any year since 2015. This maturity underscores the increasing pressure to find liquidity amid a difficult fundraising climate, even as many of these companies delay exits in pursuit of continued growth and better market conditions.

¹: There were five public listings in Southeast Asia in 2025, with four IPOs and one reverse merger. Only three IPOs had known exit value.

Top 30 highest-valued VC-backed companies in Southeast Asia

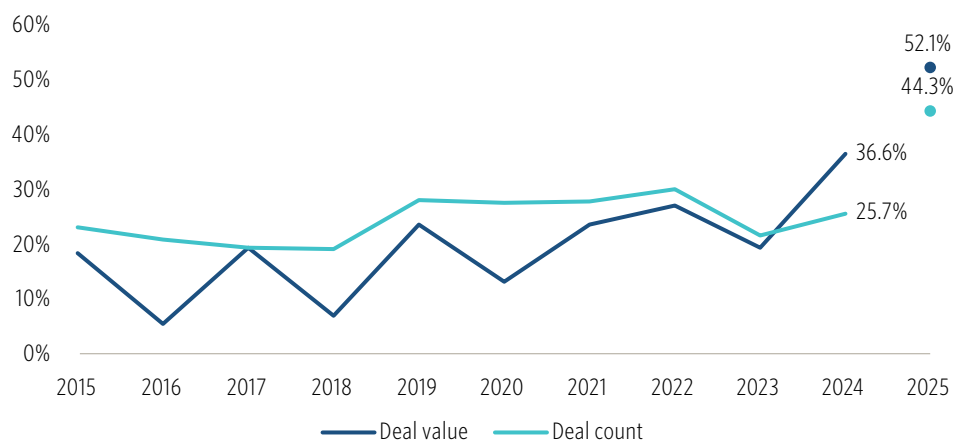
Company	Most recent valuation date	Most recent post-money valuation (\$M)	Sector	Country
SHEIN	May 17, 2023	\$66,000.0	B2C	Singapore
Mynt	August 2, 2024	\$4,927.5	IT	Philippines
HyalRoute	May 26, 2020	\$3,457.4	IT	Singapore
Eruditus Executive Education	October 17, 2024	\$3,000.0	B2B	Singapore
Amber Group	February 21, 2022	\$3,000.0	IT	Singapore
Traveloka	December 23, 2020	\$2,750.0	B2C	Indonesia
Moglix	January 26, 2022	\$2,600.0	B2B	Singapore
Coda	April 14, 2022	\$2,500.0	IT	Singapore
Ninja Van	October 7, 2021	\$2,189.1	IT	Singapore
bolttech	December 19, 2024	\$2,100.0	Financial services	Singapore
Glance	February 14, 2022	\$2,000.0	B2C	Singapore
ADVANCE.AI	September 22, 2021	\$2,000.0	IT	Singapore
Momo	December 21, 2021	\$2,000.0	IT	Vietnam
Flash Express	December 1, 2022	\$2,000.0	B2B	Thailand
Sky Mavis	July 17, 2023	\$1,950.0	IT	Singapore
Kredivo Group	March 22, 2023	\$1,789.5	Financial services	Indonesia
Carsome	January 10, 2022	\$1,699.9	B2C	Malaysia
Matrixport	February 1, 2023	\$1,540.0	IT	Singapore
Ascend	September 27, 2021	\$1,500.0	Financial services	Thailand
Group One Holdings	October 15, 2024	\$1,350.0	B2C	Singapore
Nium	June 5, 2024	\$1,336.2	IT	Singapore
Carro	June 16, 2023	\$1,260.4	B2C	Singapore
ShopBack	May 8, 2023	\$1,120.2	B2C	Singapore
Line Man	September 26, 2022	\$1,092.5	B2C	Thailand
Carousell	August 28, 2023	\$1,079.8	B2C	Singapore
Kopi Kenangan	December 27, 2021	\$1,002.4	B2C	Indonesia
Ajaib	October 4, 2021	\$1,000.0	Financial services	Indonesia
Polyhedra	March 14, 2024	\$1,000.0	IT	Singapore
OPN	May 10, 2022	\$1,000.0	IT	Thailand
Silicon Box	January 9, 2024	\$1,000.0	IT	Singapore

Source: PitchBook • As of June 3, 2025

Kyle Stanford, CAIA
 Director of Research, Venture Capital
 kyle.stanford@pitchbook.com

Outlook: India will see increased VC deal activity, further closing the gap between it and China.

India VC deal activity as a share of China VC deal activity



Source: PitchBook • Geography: APAC • As of June 3, 2025

Rationale from December 2024

India's venture market thrived in 2021-2022, completing nearly 2,500 deals annually. While this marked a 43% increase from previous highs, it was only a fraction of China's total in 2022. Both nations have faced declines, but their narratives differ.

India's economy was growing, albeit at a slower 6.7% GDP growth for the year ended June 30—below the 8%-plus forecast for 2023. Nevertheless, it remained the fastest-growing major economy. A robust economy should re-attract foreign investors after their pullback during the global slowdown.

Conversely, China's economy had stumbled. Government stimulus lacked immediate impact, and additional pressure arose from the Trump administration in the US. Economic challenges, US tensions, protectionist tech policies, and tougher regulations for startups all hindered activity. Though foreign investment pullback may have leveled, a rebound in China's venture market amid these challenges seemed unlikely.

Back in India, venture fundraising accelerated in the latter half of 2024, with 36 new VC funds closing by November, totaling \$2.5 billion. These funds injected fresh capital into startups regardless of foreign investment returns. If startups access exit markets in 2025, that scenario will further incentivize investors. India ranked third in unicorns, following the US and China, with significant value to push market growth.

Midyear update: Outlook is tracking with some variations.

Through nearly the first half of 2025, India's dealmaking landscape is roughly on pace with 2023 and 2024. Meanwhile, China's VC activity has fallen deeper into

its trough. India's startups have completed just over 44% of the number of deals in China, which, if the rest of the year follows this trend, would best the previous high by more than 14%.

While it would be incorrect to link this shift in balance between the two ecosystems as due to India's outperformance this year, the country's venture market has shown staunch resilience, to say the least. China's economic challenges, coupled with investor hesitancy in the market, are pacing the year to see by far the lowest annual total of VC deals in the past decade.

India has only had \$5.1 billion invested into startups through the first five months of the year, outpacing only 2016 and 2018 over the past decade. Though dealmaking has remained equal to the past couple years, the market still contends with similar headwinds that the global venture market is facing.

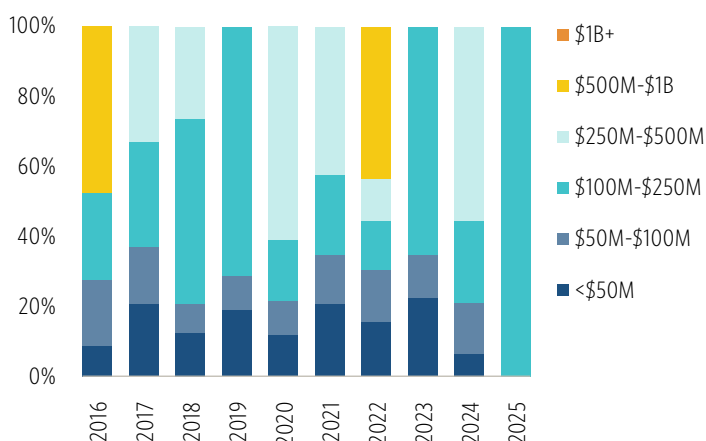
India's IPO market continues to grab headlines with its activity. However, few of those companies have been VC-backed. Just four startups have moved from privately VC-backed to public this year, and only one of those had been a unicorn prior to the IPO.

Melanie Tng

Analyst, APAC Private Capital
melanie.tng@pitchbook.com

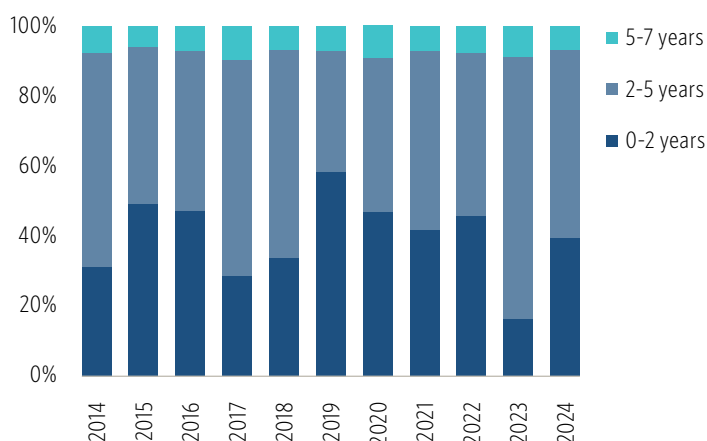
Outlook: Fundraising headwinds will widen the gap between established and emerging managers in Australia's private markets.

Share of Australia & New Zealand venture capital raised by size bucket



Source: PitchBook • Geography: Australia & New Zealand • As of March 31, 2025

Share of Australia & New Zealand private capital dry powder by age bucket



Source: PitchBook • Geography: Australia & New Zealand • As of September 30, 2024

Rationale

Venture fundraising in Australia has slowed significantly since the 2021 peak, and conditions have not improved in early 2025. In 2024, VC funds raised just \$500 million across seven vehicles—a 37.5% YoY decline in capital raised and the lowest fund count in our dataset. Data from early 2025 suggests the downturn is persisting, with only two funds closing in Q1, both above \$100 million.

This environment has led to an increasing concentration of capital among a small group of established GPs. Sub-\$50 million vehicles, typically led by emerging managers focused on early-stage VC, have become increasingly rare. These smaller funds often rely on high-net-worth individuals and family offices, which tend to be more sensitive to macro conditions and short-term performance.

Institutional participation also remains limited and cautious. While superannuation funds have increased their exposure to private markets over the past several years, their commitments continue to favor larger, experienced managers and multiasset platforms. As a result, emerging GPs, particularly those focused on early-stage venture or sector-specific strategies, face limited fundraising avenues.

This fundraising dynamic has direct implications for the deployment environment. Dry powder reached a record \$36 billion in 2024, but only 4.1% was held by sub-\$100 million funds, constraining capital access for smaller deals. The broader effect is visible in company financing behavior, where the median time between VC rounds rose to 1.9 years in 2024 and Q1 2025—the longest in a decade—suggesting slower investment pacing and limited follow-on capacity.

Risks

If current trends persist, the Australian private capital ecosystem may become increasingly concentrated, limiting the diversity of fund strategies and the pipeline of early-stage startups able to secure institutional backing. Fewer emerging managers could also reduce innovation in fund models and regional coverage.

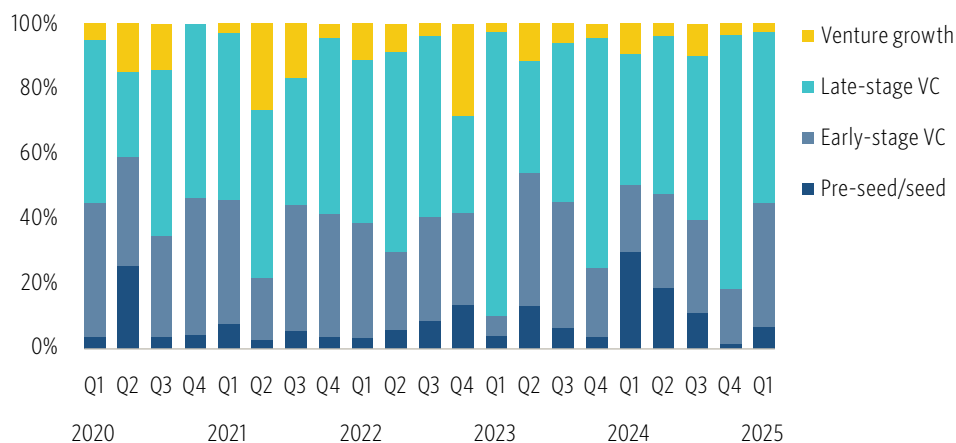
However, several factors could support a modest recovery in the second half of 2025. Public sector initiatives, such as LaunchVic's support for new VC managers and QIC's early-stage venture development efforts, may partially offset fundraising constraints at the margin. A small number of high-profile exits or capital returns could also help re-engage LPs, especially among institutional allocators currently sitting on the sidelines. Still, a broader recovery in VC fundraising will likely depend on two factors: a reset in exit activity and more consistent institutional capital flowing into smaller, early-stage-focused funds.

Melanie Tng

Analyst, APAC Private Capital
melanie.tng@pitchbook.com

Outlook: South Korea's early-stage VC market is unlikely to rebound in H2 2025 without clearer exit signals and stronger founder incentives.

Quarterly share of VC deal value by stage



Source: PitchBook • Geography: APAC • As of March 31, 2025

Rationale

South Korea's early-stage VC ecosystem is entering the second half of 2025 with more capital than companies. Despite sustained government support and the launch of cross-border vehicles such as the Korea-US fund, early-stage deployment remains muted. With few venture-scalable startups entering the market, much of this capital is either sitting on the sidelines or being redirected toward later-stage deals, where investors have greater confidence in profitability and exit timelines.

While global factors such as heightened risk aversion and macroeconomic uncertainty have contributed to the slowdown in early-stage VC activity, many of the more persistent constraints are structural and specific to South Korea. Chief among them is the country's limited exit infrastructure. Large conglomerates, or "chaebols," which dominate the corporate landscape, tend to prioritize internal R&D and group-level innovation over external acquisition. While M&A is the most common exit route for VC-backed companies, M&A appetite outside of Big Tech and foreign buyers remains narrow, in part because many domestic corporates lack structured innovation arms, strategic M&A mandates, or the internal incentives to absorb high-growth, venture-backed companies into their core businesses.

Second, public markets offer few alternatives. Since Coupang's 2021 US listing, large-scale domestic IPOs have been sparse. Local listing venues such as KOSDAQ are still oriented toward profitability and compliance standards that tend to favor mature or capital-efficient businesses, making them a less viable option for high-growth, venture-backed companies.

Third, South Korea's VC base depends on government-backed funds and large corporate LPs. Domestic institutional investors, such as pension funds and

insurance providers, have limited participation in early-stage strategies. This constrains the recycling of capital and leaves smaller, first-check-focused VC firms with fewer anchors, slowing new fund formation and deployment.

In H2, we expect these conditions to hold. Activity will likely concentrate around policy-supported sectors where public funding and international interest can help offset exit risks. But a broader recovery in early-stage VC will depend on restoring founder confidence, diversifying the exit landscape, and expanding participation from institutional LPs.

Risks

The core risk to early-stage VC remains the lack of visible exits. Without clear visibility on outcomes, investors are deploying cautiously, and entrepreneurs are hesitating to build. This constraint has already translated into lower company formation, especially among younger founders. Business creation by Koreans under 30 fell by 12.9% in 2024,² highlighting the erosion of the next generation's startup pipeline. Without a vibrant base of new ventures, long-term ecosystem renewal and the emergence of experienced founders remain at risk.

Nevertheless, potential turning points exist in the longer term. For one, South Korea may be uniquely positioned to benefit from geopolitical shifts such as US-China decoupling and new tariffs, given its strengths in semiconductors, batteries, and AI infrastructure. A breakout transaction in one of these industries could reset investor sentiment and reinvigorate early-stage momentum. Additionally, South Korea's new presidential administration has pledged to reform the country's capital markets—a development that could, if implemented effectively, broaden IPO access for high-growth companies.

But until these catalysts take hold, early-stage VC activity in Korea is likely to remain constrained. With exits still elusive and startup creation slowing, capital will continue to concentrate in later-stage deals, where paths to profitability and liquidity are clearer, rather than fueling a broad-based resurgence.

²: "South Korea's Startup Landscape Contracts Amid Economic Challenges, but Tech Sector Shows Resilience," *Platum*, Victory K. Moon, March 4, 2025.